24AVCV00323 24AVCV00323

County: los-angeles

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Case Number: 24AVCV00323 Hearing Date: July 28, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

CITY OF PALMDALE, a California municipal corporation,

Plaintiff,

v.

MARIO LOPEZ, an individual; AMERICAN KEN, INC., a California Corporation, Serviced by Mortgage Electronic Registration Systems, Inc. (MERS); and DOES 1 through 50, inclusive,

Defendants.

Case Number 24AVCV00323

[TENTATIVE]

STATEMENT OF DECISION

Date of Hearing: July 28, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a nuisance abatement case involving real property owned by Defendant Mario Lopez (Lopez) located at 374048 Boxleaf Road, Palmdale, CA 93550 (the Property).

On March 19, 2024, Plaintiff City of Palmdale (Plaintiff) filed its complaint against Defendants Lopez and The Money Source Inc., as successor to American Ken, Inc. as to the Deed of Trust recorded against the Property (erroneously sued as American Ken, Inc., a California Corporation, serviced by Mortgage Electronic Registration Systems, Inc. (MERS)) (Money Source). The complaint asserts one cause of action against Defendants for violations of state housing law and receivership under Health and Safety Code section 17980.7, subdivision (c).

Specifically, Plaintiff alleged that Lopez was the owner of the Property pursuant to a Grant Deed vesting title of the Property to Lopez, recorded on November 19, 2019. (Compl., ¶ 4.) Plaintiff claims the Property has been a focus of the City's code enforcement efforts since at least January of 2020, after Plaintiff received numerous complaints regarding the condition of the Property, and Plaintiff thereafter identified violations of law on the Property with conditions that posed a substantial danger to the health, safety, and general welfare of occupants, first responders, the surrounding community, and the public. (Compl., ¶¶ 11-12.) Plaintiff alleged that Lopez was unable or unwilling to remediate the violations of law and conditions present on the Property despite Plaintiff's efforts, and no other responsible party stepped forward to do so, giving rise to the present action to facilitate remediation and bring the Property into compliance. (Compl., ¶ 7.)

On June 6, 2024, Money Source filed its answer, asserting 13 affirmative defenses.

On August 23, 2024, Plaintiff filed an amendment to the complaint to correct the name of Defendant American Ken, Inc. to Money Source.

On August 29, 2024, the Court granted Plaintiff's ex parte application to appoint a receiver, and Richardson C. Griswold (Griswold) was appointed as the Court's receiver over the Property.

On October 16, 2025, the Court granted Griswold's ex parte application for final approval, permitting the sale of the Property by Griswold to Buyer Gasca Construction Co. (Buyer) for the purchase price of $300,000 as-is, without any warranties or representations. The net sale proceeds were ordered to be delivered to Griswold to be held in the receivership trust account pending further Court order. From these proceeds, Griswold was authorized to pay any outstanding receivership fees and costs, but not authorized to pay Plaintiff in satisfaction of fees and costs incurred in connection with this matter, with Plaintiff's fees and costs to be determined at a later date.

On May 19, 2026, Plaintiff filed the present motion for fees and costs.

On July 15, 2026, Money Source filed its opposition.

On July 21, 2026, Plaintiff filed its reply.

II. Legal Standard

Standard for Attorney's Fees and Costs Pursuant to Health and Safety Code section 17980.7 – Health and Safety Code section 17980.7 sets forth circumstances under which an enforcement agency may be entitled to attorney's fees and costs pursuant to enforcement of the Health and Safety Code and local laws.

Code Section 17980.7, subdivision (c)(4)(G) states that the enforcement agency may seek, and the court may order, the appointment of a receiver for the substandard building, and that any receiver appointed pursuant to Section 17980.7 shall have the power and duty to secure that debt and any moneys owed to the enforcement agency or the receiver for services performed pursuant to this article with a lien on the real property upon which the substandard building is located.

Code Section 17980.7, subdivision (c)(11) states that the prevailing party in an action under this section shall be entitled to reasonable attorney's fees and court costs as may be fixed by the court.

Code Section 17980.7, subdivision (d)(1) states that if the court finds that a building is in a condition that substantially endangers the health and safety of residence, upon the entry of any order or judgment, the Court shall order the owner to pay all reasonable and actual costs of the enforcement agency, including investigation, prosecution, and enforcement costs, and attorney's fees.

III. Discussion

Application – Plaintiff moves for attorney's fees and costs in the amount of $121,613.87 pursuant to Health and Safety Code section 17980.7, subdivisions (c)(4)(G), (c)(11), and (d)(1) on the grounds that Plaintiff is entitled to attorney's fees and costs as the prevailing party in this action for having obtained its main litigation objective of appointment of a receiver and sale of the Property to Buyer, who entered into a Compliance Agreement with Plaintiff to fully remediate the Property. (Notice of Motion, p. 2:7-8, 15-16, 17-21.)

In opposition, Money Source argues Plaintiff improperly seeks reimbursement for actions taken and costs incurred predating the present litigation in an unreasonable amount, improperly seeks a priority in the disbursement of proceeds ignoring the preexisting lien Defendant already has on the Property, improperly asserts that Money Source is responsible for the reimbursement of Plaintiff's fees and costs while such responsibility actually falls on Lopez, and Plaintiff's request for relief is barred by the Housing and Economic Recovery Act of 2008 (HERA). (Opp., p. 2:2-15.)

On reply, Plaintiff argues that Money Source's defense, asserting Freddie Mac's interest in the deed of trust (DOT), has never been raised and no evidence or declaration proves any such interest, that the Court has already made the requisite findings entitling Plaintiff to its fees and costs and ordered reimbursement, that Money Source never objected to Plaintiff's requested relief or raise a dispute that Freddie Mac held some interest in the DOT, and that the only issue before the Court is the amount of fees and costs to be reimbursed. (Reply, p. 1:8-11, 1:12-15, 1:18-19, 2:1-3.)

a. Plaintiff's Entitlement to Fees and Costs

i. Priority of Disbursement of Proceeds

Money Source argues that Plaintiff is not entitled to any super priority certificate for reimbursement of fees and costs. (Opp., p. 7:1-2.) Specifically, Money Source argues that Health and Safety Code section 17980.7(c)(4)(G) only supports priority certificates for the recovery of fees for a receiver, but does not authorize a super priority certificate to reimburse an enforcement agencies fees and costs. (Opp., p. 7:15-16.) Money Source argues that the Court Order appointing a receiver does not give Plaintiff unlimited authority to wipe out Money Source's secured interest against the Property, relying on County of Sonoma v. Quail (2020) 56 Cal.App.5th 657, 687.

Sonoma established that an enforcement agency's costs and fees do not receiver super-priority status over other lienholders, and for a court to so prioritize an enforcement agency's fees constitutes an abuse of discretion. (Sonoma, supra, 56 Cal.App.5th at 687-88.) Sonoma relied on the plain language of Health and Safety Code section 17890.7, subdivision (c)(4)(G), which at the time Sonoma was decided, read, in relevant part, that when a receiver is given authority to borrow funds, the receiver, with court approval, may "secure that debt and any moneys owed to the receiver for services performed." (Ibid.)

However, effective in 2024, Section 17980.7(c)(4)(G) was amended. It now reads, in relevant part, that when a receiver is given authority to borrow funds, the receiver, with court approval, may "secure that debt and any moneys owed to the enforcement agency or the receiver for services performed." (Health & Saf. Code, § 17980.7, subd. (c)(4)(G) (emphasis added.).)

Consistent with the amended Section 17980.7, in its Order dated August 29, 2024, the Court directly addressed the issue of priority of Plaintiff's lien. The Court's Order states, in relevant part:

"10. As allowed by HSC section 17980.7, the Court Receiver may also record at the County Recorder's office a super-priority lien, which is a first lien on the Subject Property superior to any preexisting private liens and encumbrances, for any monies owed to the Court Receiver for the costs of operating the receivership, including receiver's fees and costs advanced or expended by the Court Receiver for the purposes authorized by this Order or subsequent orders issued in this Action.

…

13. The City is entitled to recover all its reasonable and actual costs including, but not limited to, its inspection costs, investigation costs, enforcement costs, attorney fees or costs, court costs, litigation costs, staff costs, unpaid fines, and all other costs, expenses, and fees related to this action or the Subject Property, which shall be reimbursed to the City by the Court Receiver upon submittal of a request from the City, and which shall be paid out of the Court Receiver's super-priority receivership certificate recorded against the Subject Property pursuant to HSC section 17980.7, subdivisions (d)(1) and (c)(11), Winslow v. Ferguson (1944) 25 Cal.2d 274, City of Sierra Madre v. Suntrust Mortgage, Inc. (2019) 32 Cal.App.5th 648, and Hozz v. Vargas (1958) 166 Cal.App.2d 539, 543. Under well established legal authority, the Court has broad equitable powers to order the reimbursement of the City's cost recovery in the same priority as a court receiver's and as part of the receiver's first-priority liens. (Winslow, 25 Cal. 2d at 284–285 ["the expense incurred by a litigant for legal services in causing the appointment of a receiver is as much an expense of administrator as the charge of the receiver's counsel and should have priority to the same extent."]; see also City of Santa Paula v. Narula (2003) 114 Cal.App.4th 485, 493 ["There is a strong public policy to encourage cities to abate nuisances and provide attorney fees to help defray the costs of such actions."]; City of Sierra Madre, 32 Cal.App.5th at 658 661 [Court has very broad equitable powers in receivership actions even if action is not expressly authorized or provided in statute] and [no substantial prejudice to prior lienholders resulting from super priority status since property value reduced by nuisances] and [lienholder's "contention that it should remain the senior lienholder and benefit from the increased property value provided by the remediation while bearing none of the cost is simply untenable".]; City of Santa Monica v. Gonzalez (2008) 43 Cal.4th 905 [trial courts are vested with broad powers to authorize receivers to take actions not authorized by statute if justified by the totality of the relevant circumstances]; City of Santa Paula v. Narula (2003) 114 Cal.App.4th 485, 493 ["There is a strong public policy to encourage cities to abate nuisances and provide attorney fees to help defray the costs of such actions … It would frustrate code enforcement efforts and reward noncompliance if the City had to bear the fees it incurred as result of [respondents] recalcitrance."]. The court also has statutory authority to reimburse the City in the same priority as the court receiver pursuant to CCP section 568. (CCP, § 568 ["The receiver has, under the control of the Court, power to … do such acts as respecting the property as the Court may authorize"].)"

(Receivership Order filed 08/29/24, p. 4-5, ¶¶ 11, 13.)

The Court issued a Minute Order on August 29, 2024 regarding the hearing held on Plaintiff's ex parte application, which establishes that (1) Valerie J. Schratz appeared on behalf of Defendant, and (2) "Defendant's counsel represents that they do not object to the requested relief if it is only as to the owner." (Minute Order dated 08/29/24.)

Accordingly, Money Source's argument that California law does not authorize super priority liens for enforcement agencies, like Plaintiff, is unmeritorious.

ii. Subdivision (d)(1)

Money Source argues that Health & Safety Code § 17980.7(d)(1) does not apply here as under that statute Plaintiff "can recover attorney's fees and costs only from the owner of the property" and only Lopez, and not Money Source, should be construed as the owner. (Opposition, at 8-9.). As Plaintiff points out in its Reply, these arguments go to entitlement and to the source of payment matters resolved by the Receivership Order of August 2023 and the Sale Approval Order of October 2025. This Order does not impose personal liability on Money Source; it determines the amount of the City's reasonable and actual fees and costs, reimbursable from the proceeds of the sale through the Receiver's super-priority certificate as previously ordered.

iii. Subdivision (c)(11)

Pursuant to Health and Safety Code section 17980.7, subdivision (c)(11), "[t]he prevailing party in an action pursuant to this section shall be entitled to reasonable attorney's fees and court costs as may be fixed by the court." (Health & Saf. Code, § 17980.7, subd. (c)(11).) This provision specifically permits the recovery of reasonable attorney's fees and court costs when a prevailing party seeks the appointment of a receiver for a substandard building. (Health & Saf. Code, § 17980.7, subd. (c); City and County of San Francisco v. Ballard (2006) 136 Cal.App.4th 381, 401 ["subdivision (c)(11) of section 17980.7 provides that the prevailing party in a claim pursuant to section 17980.7 shall be awarded attorney fees in the receivership proceedings."].)

Here, Plaintiff argues it is entitled to recover its reasonable attorney's fees and court costs as the prevailing party, as Plaintiff obtained its main litigation objective and relief sought in the action, as a receiver was appointed, the Property was sold, and the Buyer remediated all violations and brought the Property into full compliance. (Motion, p. 9:23-26.) Plaintiff also cites to City of Norco v. Mugar (2020) 59 Cal.App.5th 786, in which the Court awarded the plaintiff city prevailing party status and cost recovery after the city petitioned for a receiver to abate nuisances and the owner ultimately brought the property into compliance. (Motion, p. 9:26-10:3.)

Plaintiff filed an ex parte application for appointment of a receiver after Defendant Lopez failed to address multiple code violations, which revealed severe substandard conditions throughout the property. The Court granted the application on August 29, 2024, expressly stating "The City is the prevailing party in this Action." (Order dated 08/29/2024, p. 2:16, ¶ 12.)

Thus, the Court reiterates its finding that Plaintiff is the prevailing party and thus, under California law, is entitled to its recoverable fees and costs.

iv. HERA Preemption and Implication

Money Source argues that Plaintiff's recovery of costs and fees is barred under HERA. Specifically, Money Source argues that it acts as the loan servicer for Freddie Mac, who supposedly was the owner of the loan, and because Freddie Mac operates under conservatorship of the Federal Housing Finance Agency (FHFA), HERA preempts California law and bars Plaintiff's recovery of fees and costs. (Opp., p. 3:23-27.)

12 U.S.C. sections 4511, subdivision (a)(2) and 4513 empowered the FHFA to place Freddie Mac into conservatorship to protect nation's housing market and participate in litigation. As conservator, the FHFA has power to take over the assets and operation, conduct all business, collect all obligations and money due to, perform all functions, and preserve and conserve the assets and property of the regulated entity. (12 U.S.C., § 4617, subd. (b)(2)(B).) "In placing Freddie Mac into conservatorship in 2008, the [FHFA] acquired Freddie Mac's 'rights, titles, powers, and privileges . . . with respect to [its] assets' for the life of the conservatorship. 12 U.S.C. § 4617(b)(2)(A)(I). The Agency's conservatorship assets are shielded

from certain adverse actions as spelled out by statute." (Berezovsky v. Moniz (2017) 869 F.3d 923, 926-27.)

12 U.S.C. section 4617, subdivision (a)(7) holds that when acting as conservator, the FHFA shall not be subject to the direction or supervision of any other agency of the United States or any State in the exercise of its rights, powers, and privileges. 12 U.S.C. section 4617, subdivision (f) provides that no court may take any action to restrain or affect the exercise of powers or functions of the FHFA as a conservator.

12 U.S.C. section 4617, subdivision (j)(3) is known as the Federal Foreclosure Bar, and provides that "[n]o property of the Agency shall be subject to levy, attachment, garnishment, foreclosure, or sale without the consent of the Agency, nor shall any involuntary lien attach to the property of the Agency." (12 U.S.C., § 4617, subd. (j)(3).) "The Federal Foreclosure Bar does not require the Agency to actively resist foreclosure. [Citation.] Rather, the statutory language cloaks Agency property with Congressional protection unless or until the Agency affirmatively relinquishes it." (Berezovsky, supra, 869 F.3d at 929.)

The Federal Foreclosure Bar preempts any state law permitting foreclosure on a property on a superpriority lien to extinguish a first deed of trust without the FHFA's affirmative consent, and invalidates any purported extinguishment of a regulated entity's property interest under the FHFA's conservatorship without the FHFA's affirmative consent. (Saticoy Bay LLC Series 9641 v. Fannie Mae (2018) 134 Nev. 270, 270-71.)

The FHFA may, acting as conservator of a regulated entity, collect all obligations and money due to the entity and preserve and conserve the assets and property of the regulated entity. (12 U.S.C., § 4617, subd. (b)(2)(B)(ii), (iv).) Furthermore, in connection with any sale or disposition of assets of a regulated entity for which it has been appointed conservator, the FHFA must conduct its operations in a manner which maximizes the net present value return from the sale or disposition of such assets and minimizes the amount of any loss realized in the resolution of cases. (12 U.S.C., § 4617, subd. (b)(11)(E).)

The servicer of a loan owned by a regulated entity, such as Freddie Mac, has standing and is entitled to assert HERA preemption. (Saticoy Bay, supra, 134 Nev. at 272; Nationstar Mortg., LLC v. SFR Invs. Pool 1, LLC (2017) 133 Nev., Adv. Op. 34, 396 P.3d 754, 756-58.) "The statute's plain language empowers the FHFA to 'take such action' as it deems necessary to carry on the business of Freddie Mac. The phrase 'such action' is broad and may encompass (1) contracting with private entities to service its loans, or (2) relying on Freddie Mac's existing contractual relationships with authorized servicers. Indeed, another provision of HERA states that the FHFA may 'provide by contract for assistance in fulfilling any function, activity, action, or duty of the Agency as conservator or receiver.' 12 U.S.C. § 4617(b)(2)(B)(v)." (Nationstar Mortg., LLC v. SFR Invs. Pool 1, LLC, (2017) 133 Nev. 247, 250.) As Freddie Mac is under the FHFA's conservatorship, its property interest effectively becomes the FHFA's, and HERA attaches. (Saticoy Bay, supra, 134 Nev. at 272.)

Money Source argues that as loan servicer for Freddie Mac, it is acting on behalf of the FHFA to collect and preserve moneys owed to Freddie Mac, and that permitting a depletion of the assets in the receivership trust account would "unequivocally 'restrain or affect' FHFA's statutory powers to 'collect all obligations and money due' to Freddie Mac's conservatorship estate, to 'preserve and conserve [Freddie Mac's] assets and property,' to 'maximize the net present value return from the sale or disposition of [Freddie Mac's] assets,' and to 'minimize the amount of any loss.' 12 U.S.C. §§ 4617(f), (b)(2)(B)(ii), (b)(2)(B)(iv), (b)(11)(E)." (Opp., p. 5:8-12.)

Money Source's HERA pre-emption argument fails for several reasons.

First, as the party invoking the protections of 12 U.S.C. § 4617, Money Source must, consistent with state law, establish through evidence the property interest of the Agency or of the entity in conservatorship. (Berezovsky v. Moniz (9th Cir. 2017) 869 F.3d 923 (Freddie Mac's interest established through evidentiary showing of ownership and of the recorded beneficiary's role as servicing agent).)[1] Money Source hasn't even tried to do that. It has submitted no declaration, no business record, no loan-level documentation, no servicing agreement or guide, no anything as far as evidence in support of its Opposition. Its assertions that it "acts as the loan servicer for Freddie Mac" and that Freddie Mac "at all times relevant was the owner of the loan" appear solely in an unverified memorandum of points and authorities. Statements of fact contained in a memorandum are argument, not evidence, and cannot supply the evidentiary predicate for a defense. (Code Civ. Proc., § 2009; Cal. Rules of Court, rule 3.1306(a).) And nothing in this record supports Money Source's new-found assertion. Neither Freddie Mac nor the FHFA has appeared in this action or asserted any interest in the Property or its proceeds. Indeed, Plaintiff's evidence is unrebutted: title records reviewed by Plaintiff did not reflect any interest of Freddie Mac when the City filed its Verified Complaint, and Money Source's own March 3, 2023 Default Notice and Notice of Intent to Foreclose Letter — which acknowledged the City's Notice and Order — made no reference to Freddie Mac. (Bocanegra Decl., ¶¶ 2, 10, Ex. 1.)

Second, Plaintiff already has adjudicated its entitlement and priority. An order appointing a receiver is separately appealable. (Code Civ. Proc., § 904.1, subd. (a)(7).) The Receivership Order filed 08/29/24 determined the City's prevailing party status, its entitlement to recover its reasonable and actual fees and costs, and the priority of that reimbursement through the Receiver's super-priority certificate. Notice of Entry was served. No appeal was taken and no motion for reconsideration was filed. Money Source's HERA arguments are directed not at the amount of the City's fees and costs but at the City's entitlement to them and at the priority of their payment — matters already determined. The arguments are therefore not properly before the Court.

Third, Money Source has forfeited the HERA preemption argument. Money Source did not plead HERA preemption, lack of "owner" status, or any lien-priority objection as an affirmative defense in its Answer filed October 15, 2024. It filed no opposition to the Ex Parte Receivership Application. The Court then issued its August 29, 2025 Receivership Order. Again, Money Source did nothing to indicate that it regarded the scope of the relief in that order as improper. And then, in 2025, when the Receiver sought approval of the sale and the stripping of the Deed of Trust Money Source appeared, filed a written opposition, and advanced other grounds, but did not raise HERA, the Federal Foreclosure Bar, or any asserted interest of Freddie Mac. Money Source thus had actual knowledge that its security interest was at issue and elected to litigate on other grounds.

b. Reasonableness of Fees and Costs

The lodestar method for calculating attorneys' fees applies to a statutory attorneys' fee award unless there is a clear legislative intent to the contrary. (Galbiso v. Orosi Pub. Util. Dist. (2008) 167 Cal.App.4th 1063, 1089 [citing Ketchum v. Moses (2001) 24 Cal.4th 1122, 1135-36].) Health and Safety Code section 17980.7, subdivision (d)(1) entitles the prevailing party to reasonable attorneys' fees, but does not provide additional methods of calculating reasonable attorneys' fees; thus, the lodestar method is the appropriate calculation.

The lodestar method determines recoverable fees by multiplying the reasonable hourly rate of the attorneys by the reasonable number of hours billed for the work performed. "A trial court assessing attorney fees begins with a touchstone or lodestar figure, based on the careful compilation of the time spent and reasonable hourly compensation of each attorney involved in the presentation of the case." (Christian Research Institute v. Alnor¿(2008) 165 Cal.App.4th 1315, 1321 [internal quotations omitted].)¿ "The reasonableness of attorney fees is within the discretion of the trial court, to be determined from a consideration of such factors as the nature of the litigation, the complexity of the issues, the experience and¿expertise¿of counsel and the amount of time involved. [Citation.] The court may also consider whether the amount requested is based upon unnecessary or duplicative work."¿ (Wilkerson v. Sullivan¿(2002) 99 Cal.App.4th 443, 448 (citations omitted).) "The basis for the trial court's calculation must be the actual hours counsel has devoted to the case, less those that result from inefficient or duplicative use of time." (Horsford v.¿Board of Trustees¿Of¿California State University¿(2005) 132 Cal.App.4th 359, 395.)¿ "The law is clear, however, that¿an award of attorney fees may be based on counsel's declarations, without production of detailed time records."¿(Raining Data Corp. v. Barrenechea¿(2009) 175 Cal.App.4th 1363, 1375.)

i. Reasonableness of Hourly Rates

Plaintiff was represented by two firms throughout this process, the first billing work at a rate of $220 - $235/hr. for the senior attorney and associate attorneys, and $130 - $140/hr. for paralegal work, and the current firm's (Civica's) hourly rate for attorney time was between $242 - $263/hr. for the handling Partner, $235-263/hr. for the handling senior attorney, associate attorney, and Trujillo, and $144-160/hr. for paralegal work. (Trujillo Decl., ¶ 78.)

Money Source does not argue that any of these rates are unreasonable or should be reduced. As the issue of rate reasonableness is uncontested, the Court accepts the rates for the purposes of this motion. This ruling should not be construed by any other court that this Court has found, after a disputed adjudication, that Plaintiff's counsel's rates are reasonable.

Accordingly, the rates requested for the billing attorneys and paralegals are accepted as requested.

ii. Reasonableness of Hours Billed

Plaintiff argues it reasonably spent 490.5 hours on this case. (Trujillo Decl., ¶ 76.)

The prevailing party has the burden of showing that the requested attorney fees were "reasonably necessary to the conduct of the litigation, and were reasonable in amount." (Robertson, supra, 144 Cal.App.4th at 817.) The party seeking attorney fees "'is not necessarily entitled to compensation for the value of attorney services according to [his] own notion or to the full extent claimed by [him].'" (Levy v. Toyota Motor Sales, USA, Inc. (1992) 4 Cal.App.4th 807, 816.) Therefore, if the "time expended or the monetary charge being made for the time expended are not reasonable under all the circumstances, then the court must take this into account and award attorney fees in a lesser amount." (Nightingale v. Hyundai Motor America (1994) 31 Cal.App.4th 99, 104.)

Where a party submits detailed billing records, they "are entitled to credence in the absence of a clear indication the records are erroneous." (Horsford, supra, 132 Cal.App.4th at p. 396.) On presentation of a detailed fee bill, accompanied by a sworn affidavit as to the accuracy of the fee bill, the bill is presumed credible, and the court must use these records as a starting point for its lodestar determination. (Id at 396-97.)

Pre-litigation attorney's fees are recoverable where the activity contributed to the success of the litigation. (See Hogar v. Community Development Comm. of City of Escondido (2007) 157 Cal.App.4th 1358, 1370 [allowing pre-litigation fees under Civil Code section 1021.5 because the activity directly contributed to the litigation].) Health and Safety Code section 17980.7(c) establishes pre-litigation requirements that must be met prior to filing a petition with the Court.

As a preliminary matter, the Court disposes of Money Source's arguments in opposition to the award of fees. As discussed above, the Court ordered Griswold to pay Plaintiff's fees and costs as prevailing party, pursuant to the super priority receiver lien on the sale proceeds, which is permissible by law.

Money Source also argues that because default was entered against Lopez, the fees shall be determined in accordance with Local Rule 3.214. (Opp., p. 11:13-16.) Health and Safety Code section 17980.7, subdivision (c)(11) provides that the prevailing party, here Plaintiff, is entitled to attorney's fees "as may be fixed by the court." Further, Local Rule 3.214 states that the default percentage owed applies "unless otherwise determined by the court." (Local Rule 3.124(a).) Therefore, the Court is not bound by the default attorney fee schedule, and will determine fees based upon the clear language of the Health and Safety Code that Plaintiff is entitled to all reasonable fees. (Health & Saf. Code, § 17980.7, subd. (d)(1).)

In opposition, Money Source argues that the fees requested are grossly excessive and consist of duplicative of work also done by Griswold. (Opp., p. 7:27-28; 13:10-16.) Money Source does not provide any evidence that the fees are duplicative, does not point to any specific category of work as detailed by Plaintiff's counsel, and does not argue that any of the work was unnecessary or unreasonable in the commencement or prosecution of the action. Without any requisite specificity as to the improperness of the fees requested, the Court will disregard these generalized objections and analyze the hours billed as set forth by Plaintiff in the context of the action.

Plaintiff's counsel Matthew G. Trujillo (Trujillo) argues that Plaintiff reasonably spent 490.5 hours on this action, and while Plaintiff asserts its billing records are confidential and may not be disclosed, Trujillo puts forth a summary of all legal efforts related to assisting Plaintiff with its nuisance abatement efforts for the subject property and the approximate time spent by the billing attorneys for certain work. (Trujillo Decl., ¶¶ 5-7.) The approximate time spent on certain tasks is summarized as follows:

1. Initial Code Enforcement & Compliance Efforts – January 2020 through March 19, 2024

a. 2.0 hours ($413) spent in January 2022 reviewing and analyzing City's case files, code enforcement records, photographs of Property, and inspection records and notes to strategize enforcement strategy and correspondence (Trujillo Decl., ¶ 10);

b. 46.3 hours ($10,024.50) from February through June 2022 preparing the request for consent to inspect letter and Inspection Warrant papers to submit to the court, including warrant application, memorandum, declarations, and the proposed inspection warrant – includes 7.5 hours reviewing and analyzing documentation and correspondence with Plaintiff; 1.5 hours drafting request for consent to inspect letter; 2.4 hours drafting warrant application 12.2 hours drafting the supporting declaration of City staff; 5.2 hours drafting Inspection Warrant; 6.4 hours drafting the memorandum; 11.1 hours drafting and posting the 24 hours' notice to the Property (Id at ¶ 11);

c. 28.4 hours ($6,332) from April through July 2022 reviewing inspection files and photographs (Id at ¶ 12);

d. 4.1 hours ($669) in August 2022 preparing and recording the NOP (Id at ¶ 13);

e. 0.9 hours ($126) corresponding with title company to obtain title documents (Id at ¶ 14);

f. 3.3 hours ($775) in October 2022 to correspond with a lienholder (Id at ¶ 15);

g. 30.9 hours ($7,311.20) between March 8 and December 27, 2023 reviewing and analyzing Plaintiff's files and photographs of the Property, drafting request for consent to inspect letter, and correspondence (Id at ¶ 20);

2. Initiation of Action

a. 43.5 hours ($8,627.81) from December 27, 2023 and March 21, 2024 for drafting, coordinating posting, and service of Three-Day Notice to all parties, reviewing Plaintiff's code enforcement files and evidence, drafting pleadings, and correspondence (Id at ¶ 25);

b. 17.3 hours ($3,701.50) between March 22 and June 6, 2024 in service attempts, review, and correspondence (Id at ¶ 27);

3. Litigation

a. 86 hours ($22,161.02) between April 15 and August 28, 2024 for review of file, drafting ex parte receivership application, gathering supporting documentation and exhibits, correspondence and meetings with Plaintiff, Lopez, and banks' counsel (Id at ¶ 33);

b. 4.1 hours ($1,020.50) from August 20 through August 28, 2024 for drafting, filing, and serving the amendment to the complaint regarding the incorrect name for Money Source, notice of intent to request entry of default, and request for entry of default, and compiling, filing, and serving the ex parte application (Id at ¶ 35);

c. 6.8 hours ($1,594) from August 28 through August 30, 2024 for appearing at the ex parte hearing and oral argument, drafting, finalizing, and serving notice of entry of the receivership order, and corresponding with Griswold (Id at ¶ 38);

d. 8.7 hours from September 3 through September 10, 2024 ($2,068.50) corresponding with Griswold, Plaintiff's code enforcement staff, and Money Source to coordinate initial inspection of the Property, finalizing the notice of CMC, drafting a case management statement, and reviewing Money Source's case management statement (Id at ¶ 41);

e. 48.2 hours ($11,381) from September 11, 2024 through February 24, 2025 for correspondence, reviewing Griswold's monthly receivership reports and accounting, reviewing Money Source's case management statements, drafting Plaintiff's case management statements, and preparation for and appearance at two CMCs (Id at ¶ 45);

f. 34.1 hours ($7,179.62) from February 25 through August 28, 2025 for drafting first compliance agreement with Buyer, corresponding with Griswold and Plaintiff's staff, scheduling inspection of the Property, drafting the notice of pendency of the Court's receivership order (Id at ¶ 51);

g. 34.6 hours ($8,605.40) from August 29 through November 10, 2025 drafting the second compliance agreement with Buyer, drafting withdrawals of Plaintiff's NOPs on title, appearing at the hearing for Griswold's ex parte sale application, correspondence, and appearance at the CMC(Id at ¶ 60);

h. 4.0 hours ($1,010.80) from November 12 through December 26, 2025 for negotiation with Money Source regarding a potential stipulation as to Plaintiff's fees and costs (Id at ¶ 64);

i. 11.1 hours ($2,589.70) between January 5 and April 27, 2026 for reviewing Receiver's monthly accounting reports, correspondence, and appearance at the status conference (Id at ¶ 67);

j. 76.2 hours ($19,741.90) between January 5 and May 18, 2026 drafting the present fee motion, including 10.1 hours reviewing billing reports and summarizing work performed, 10.4 hours drafting the moving documents, 11.3 hours drafting the memorandum of points and authorities, 40.7 hours drafting the Trujillo Declaration, and 86 hours drafting the Rodgers Declaration (Id at ¶ 74);

k. 15 hours anticipated for reviewing Money Source's opposition to the present motion, preparing reply papers, and preparation for and appearance at the hearing on this motion (Id at ¶ 75).

While Plaintiff was required to allow Lopez a reasonable opportunity to remedy the existing defects and bring the Property up to code, the Court finds that the amount of pre-litigation hours billed is facially excessive. The hours and fees determined to be reasonable are as follows[2]:

a. 2.0 hours at approximately $206.50/hr. ($413.00) in January 2022 reviewing and analyzing City's case files, code enforcement records, photographs of Property, and inspection records and notes to strategize enforcement strategy and correspondence;

b. 30.0 hours at approximately $216.51/hr. ($6,495.35) from February through June 2022 preparing the request for consent to inspect letter and Inspection Warrant papers to submit to the court, including warrant application, memorandum, declarations, and the proposed inspection warrant;

c. 20.0 hours at approximately $222.95/hr. ($4,459.15) from April through July 2022 reviewing inspection files and photographs;

d. 1.5 hours at approximately $163.17/hr. ($244.75) in August 2022 preparing and recording the NOP;

e. 0.9 hours at approximately $140/hr. ($126) corresponding with title company to obtain title documents;

f. 2.0 hours at approximately $234.84/hr. ($469.68) in October 2022 to correspond with a lienholder;

g. 21.0 hours at approximately $236.60/hr. ($4,968.77) between March 8 and December 27, 2023 reviewing and analyzing Plaintiff's files and photographs of the Property, drafting request for consent to inspect letter, and correspondence.

As to initiation efforts, the Court also finds the hours billed facially excessive for the nature of the work completed. The hours determined to be reasonable are as follows:

a. 32.0 hours at approximately $198.34/hr. ($6,346.89) from December 27, 2023 and March 21, 2024 for drafting, coordinating posting, and service of Three-Day Notice to all parties, reviewing Plaintiff's code enforcement files and evidence, drafting pleadings, and correspondence;

b. 9.0 hours at approximately $213.95/hr. ($1,925.63) between March 22 and June 6, 2024 in service attempts, review, and correspondence.

As to litigation work, the Court finds that certain of the hours billed are facially excessive. The hours determined to be reasonable are as follows:

a. 65.0 hours at approximately $257.68/hr. ($16,749.60) between April 15 and August 28, 2024 for review of file, drafting ex parte receivership application, gathering supporting documentation and exhibits, correspondence and meetings with Plaintiff, Lopez, and banks' counsel;

b. 3.5 hours at approximately $248.90 ($871.15) from August 20 through August 28, 2024 for drafting, filing, and serving the amendment to the complaint regarding the incorrect name for Money Source, notice of intent to request entry of default, and request for entry of default, and compiling, filing, and serving the ex parte application;

c. 4.0 hours at approximately $234.41/hr. ($937.64) from August 28 through August 30, 2024 for appearing at the ex parte hearing and oral argument, drafting, finalizing, and serving notice of entry of the receivership order, and corresponding with Griswold;

d. 6.0 hours at approximately $236.12/hr. ($1,416.72) from September 3 through September 10, 2024 corresponding with Griswold, Plaintiff's code enforcement staff, and Money Source to coordinate initial inspection of the Property, finalizing the notice of CMC, drafting a case management statement, and reviewing Money Source's case management statement;

e. 32.0 hours at approximately $236.12/hr. ($7,555.85) from September 11, 2024 through February 24, 2025 for correspondence, reviewing Griswold's monthly receivership reports and accounting, reviewing Money Source's case management statements, drafting Plaintiff's case management statements, and preparation for and appearance at two CMCs;

f. 20.0 hours at approximately $210.54/hr. ($4,210.80) from February 25 through August 28, 2025 for drafting first compliance agreement with Buyer, corresponding with Griswold and Plaintiff's staff, scheduling inspection of the Property, drafting the notice of pendency of the Court's receivership order;

g. 23.5 hours at approximately $248.71 ($5,844.68) from August 29 through November 10, 2025 drafting the second compliance agreement with Buyer, drafting withdrawals of Plaintiff's NOPs on title, appearing at the hearing for Griswold's ex parte sale application, correspondence, and appearance at the CMC;

h. 4.0 hours at approximately $252.70/hr. ($1,010.80) from November 12 through December 26, 2025 for negotiation with Money Source regarding a potential stipulation as to Plaintiff's fees and costs (the Court notes that Money Source does not dispute the time spent negotiating);

i. 7.5 hours at approximately $233.30/hr. ($1,749.79) between January 5 and April 27, 2026 for reviewing Receiver's monthly accounting reports, correspondence, and appearance at the status conference;

j. 55.0 hours at approximately $259.08/hr. ($14,249.40) between January 5 and May 18, 2026 drafting the present fee motion.

k. 15 hours anticipated at approximately $235/hr. ($3,525.00) for reviewing Money Source's opposition to the present motion, preparing reply papers, and preparation for and appearance at the hearing on this motion.

Accordingly, Plaintiff is awarded upon entry of judgment reasonable attorney's fees in the amount of $83,570.65 for approximately 347.9 hours of work.

iii. Reasonableness of Costs

Plaintiff seeks a total of $6,280.92 in costs, consisting of inspection, investigation, enforcement, litigation, and city staff costs, along with all other costs, expenses, fees, and unpaid fines on the Property. (Cost Memo. Worksheet, p. 4:2-6.) This also includes court messenger fees for court filings, attorney service fees for electronic filing, service costs, and costs for copying, postage and mailing, property detail report, title report, and litigation guarantee. (Cost Memo. Worksheet, p. 4:8-18.) Plaintiff asserts that of this, $4,624.75 is for city staff costs and $1,656.17 is for litigation costs. (Notice of Motion, p. 1:23-24.)

Pursuant to Health and Safety Code section 17980.7, subdivision (d), Plaintiff is entitled to recover all reasonable and actual costs incurred by Plaintiff pursuant to the Court's finding that the Property was in a condition that substantially endangered the health and safety of residents. These costs include inspection costs, investigation costs, enforcement costs, and all costs of prosecution. (Health & Saf. Code, § 17980.7, subd. (d)(1).) "Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032, subd. (b).) "Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation." (Code Civ. Proc., § 1033.5, subd. (c)(2).) "If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary." (Ladas v. California State Auto. Assn. (1993) 19 Cal. App. 4th 761, 774.) "On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs." (Ibid.)

"A prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first. The memorandum of costs must be verified by a statement of the party, attorney, or agent that to the best of his or her knowledge the items of cost are correct and were necessarily incurred in the case." (Cal. Rules of Court, rule 3.1700(a)(1).) "Any notice of motion to strike or tax costs must be served and filed 15 days after service of the cost memorandum." (Cal. Rules of Court, rule 3.1700(b)(1).)

Here, Plaintiff has provided a verified memorandum of costs detailing the nature of the costs incurred and the total amount requested. (Cost Memo., p. 1.) None of the costs requested appear facially invalid. Trujillo states that costs incurred between January 13, 2022 and November 29, 2022 totaled $522.87 for ordering a property detail report, litigation guarantee, title reports, mailing the request for consent to inspect letter, and notarizing and recording the NOP on title. (Trujillo Decl., ¶ 16.) Plaintiff then incurred $150.74 in costs for ordering an updated litigation guarantee and property detail report to confirm the record title owner and lienholders. (Id at ¶ 26.) Plaintiff further incurred costs amounting to $686.65 for filing, mailing, printing, and service of process services related to the 3-Day Notice, Verified Complaint and Summons, and other initiating papers. (Id at ¶ 28.) Plaintiff incurred $165.41 in costs for filing, mailing, printing, and services related to the ex parte receivership application, amendment to the complaint, and request for entry of default. (Id at ¶ 36.) Plaintiff incurred $76.60 in costs for mailing, printing, and filing the case management statement and notice of the order of case reassignment and recording the notice of pendency of the Court's receivership order, and $53.90 for filing Plaintiff's brief in support of Griswold's ex parte sale application, notarizing the NOP withdrawals, and filing the case management statement. (Id at ¶¶ 5, 612.)

As to the City staff costs, Plaintiff provides the Declaration of senior code enforcement officer Monica Rodgers. The Rodgers Declaration details Plaintiff's efforts to obtain voluntary compliance and the work, time, and effort expended by City staff in attempting to avoid the filing of this action, bring the Property up to code, address numerous complaints from neighbors and others in the community, and monitoring and inspecting the property for compliance. Money Source does not dispute that any of the work done by City staff was unreasonable or unnecessary.

In opposition, Money Source argues (1) that only Lopez is responsible for these costs and they cannot be paid from Money Source's security interest, an argument this Court has already disposed of above, and (2) that most costs requested are duplicative of costs incurred by Griswold as the receiver, for which he has already been reimbursed, and Plaintiff should not be reimbursed for work that was done by Griswold. (Opp., p. 8:3-4; 12:10-16.)

Money Source has provided no evidence that the costs Plaintiff seeks to recover are duplicative. While it is true that Griswold incurred investigation costs in his role as receiver, Plaintiff's motion and supporting declarations detail its years' worth of efforts to abate the nuisance, during which it is reasonable that they would incur significant costs which are not duplicative of the costs incurred by Griswold as receiver.

Accordingly, Plaintiff's request for costs is GRANTED in the amount of $6,280.92.

IV. Conclusion

Plaintiff City of Palmdale's Motion for City's Fees and Costs is GRANTED in the amount of $89,851.57. Griswold, as Receiver, shall pay the total sum to Plaintiff from the sale proceeds within the Receiver Trust Account within 30 days of entry of judgment.

[1] See Berezovsky, supra. 869 F.3 923, 932-933 for a recitation of the extensive evidence submitted by Freddie Mac to establish its interest. None of that was presented here.

[2] The Court notes that no billing records have been provided detailing the exact hourly rates at which certain work was performed. The Court calculated the reasonable fees after reduction by dividing the total cost of the work performed as declared by Plaintiff by the total number of hours of work done for that specific task or category of work, then multiplying that average hourly rate by the reduced number of hours determined by the Court to be reasonable for the work performed.